ACME CORPORATION
Human Resources Department

Compensation & Total Rewards Policy

Policy Reference: HR-POL-006

Policy ID:	HR-POL-006	**Version:**	3.1
Effective Date:	2024-01-01	**Last Reviewed:**	2023-12-01
Policy Owner:	Compensation & Benefits Manager	**Approved By:**	Chief People Officer & CFO
Compliance Required:	Yes – All Employees	**Next Review:**	12 months from effective date

1. Policy Purpose

To describe the company's compensation philosophy, structure, and administration guidelines to attract, retain, and motivate a high-performing workforce while ensuring internal equity and market competitiveness.

2. Compensation Philosophy

The company targets the 50th percentile (median) of the relevant talent market for base salary and the 65th percentile for total compensation including variable pay and equity. Market data is sourced annually from Radford and Mercer surveys. The company believes in paying for performance and differentiating rewards based on individual and company results.

3. Pay Structure

The company uses a grade-based pay structure with defined salary bands (minimum, midpoint, maximum) for each grade level. Grades 1–5: Individual Contributors, Grades 6–8: Managers and Senior ICs, Grades 9–11: Directors and VPs, Grade 12+: C-Suite (Board approval required). Salary bands are reviewed and adjusted annually.

4. Annual Merit Increases

Merit increases are granted annually in April based on: individual performance rating (0–5 scale), position within pay band, and overall company financial performance. Increase guidelines by performance rating: 5 (Exceptional) – 6–8%, 4 (Exceeds) – 4–6%, 3 (Meets) – 2–4%, 2 (Developing) – 0–2%, 1 (Below) – 0% (PIP required).

5. Variable Pay – Annual Bonus

Exempt employees at Grade 6+ participate in the Annual Incentive Plan (AIP). Target bonus as % of base salary: Grades 6–8: 10–15%, Grades 9–11: 20–30%, Grade 12+: 50–100%. Actual bonus = Target × Company Performance Multiplier (0–2x) × Individual Performance Multiplier (0.5–1.5x). Bonus paid in March for prior year performance.

6. Equity Compensation

Equity grants (RSUs) are made at hire and annually for Grades 8+. Vesting schedule: 25% after year 1, 25% year 2, 25% year 3, 25% year 4. New hire grants vest beginning on the first vesting cliff after hire date. Equity details and tax guidance available through the equity management platform (Carta).

7. Benefits

Benefits for full-time employees include: medical/dental/vision insurance (company pays 80% of premium), 401(k) with 4% company match (vesting: 3 years), life insurance (2x base salary), short and long-term disability, EAP, HSA/FSA accounts, and education assistance ($5,250/year tax-free). Benefits enrollment open annually each November.

8. Pay Equity

The company conducts an annual pay equity analysis by gender and race/ethnicity using regression analysis controlling for legitimate pay factors. Pay gaps beyond 5% trigger a review and remediation plan. Results are reviewed by the Compensation Committee and shared with the CPO and CEO. The company is committed to closing identified pay gaps within 12 months.
